Q1 2025

Custom Managed Portfolios

Guardian Canadian Bond (RI)

Quick facts

Asset class:
Canadian Bonds

Management style:
Income[1]

Number of holdings:
20

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
January 01, 1994

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What does the strategy invest in?

This strategy is designed to provide steady and stable levels of income, while minimizing the effect of reinvestment risk. Usually the longest bond in the portfolio is no greater than 10 years in maturity and all bonds are investment grade. The portfolio is concentrated in Provincial and Corporate issues to enhance yield and income.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	2.2%	2.2%	8.3%	2.8%	1.2%	1.9%	5.2%
Benchmark[5]	2.0%	2.0%	7.6%	2.4%	0.8%	1.7%	5.1%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	5.0%	7.5%	-12.5%	-2.5%	10.3%	6.5%	1.2%
Benchmark[5]	4.2%	6.3%	-11.7%	-2.5%	8.7%	6.9%	1.4%

Standard deviation	3.2%	Sortino ratio	1.48	Downside capture	92.7%
Sharpe ratio	1.11	Min. Credit	BBB+	Upside capture	99.8%

Largest holdings

1.	BC PROV 4.15% 18JUN2034	11.9%	**6.**	PROV OF ONT 1.9% 02DEC2051	5.4%
2.	CDA HSG TR 3.55% 15SEP2032	9.5%	**7.**	TD BK SUB 5.177% 09APR2034	5.4%
3.	BC PROV 5.4% 18JUN35	8.3%	**8.**	SUN LIFE 2.58% SB UN 10MAY32	5.3%
4.	CDA HSG NO.1 1.75% 15JN30	7.7%	**9.**	MANULIFE 2.818% 13MAY2035	5.2%
5.	ONT PROV 4.65% 02JUN41	5.6%	**10.**	RBC SR UNSEC 5.228% 24JUN2030	4.9%

Portfolio attributes

Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average Current Yield	Portfolio turnover
3.5%	3.6%	AA-	6.62	3.5%	39.4%

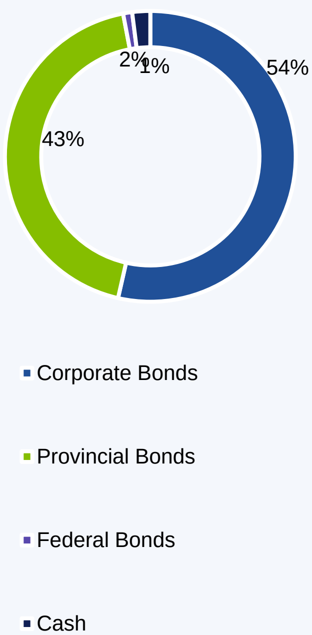
Target allocations

Asset class	Min	Target	Current	Max
Gov't & Provincial Bonds	10%	55%	46%	100%
Inv. Grade Corp Bonds	10%	43%	52%	65%
Cash & cash equivalents	0%	2%	2%	20%

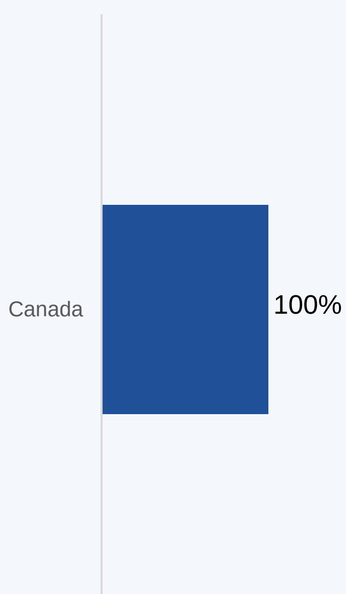
■ Target □ Current

Q1 2025

Sector breakdown



Geographic allocation



Quarterly commentary

The bond market rallied as yields declined during the first quarter of 2025, driven by the short end of the yield curve as the Bank of Canada (BoC) lowered its policy rate by 0.50% from 3.25% to 2.75% in an effort to mitigate the impact of U.S. tariffs on domestic growth. The macroeconomic backdrop surprised to the upside, driven by the higher-than-expected CPI print for February as a result of the end to the GST/HST sales tax holiday, with restaurant prices contributing the most to the acceleration.

The U.S. also saw bond yields move markedly lower over the quarter as the prospects of a prolonged trade war and dramatic cuts to government spending weighed on U.S. growth. The Atlanta Fed is forecasting first quarter real GDP growth of -3.67% (annualized). The Federal Reserve (Fed) held its policy rate at 4.50% citing preferred measures of inflation not yet within the bank's target range.

The European Central Bank reduced its policy rate by 25 basis points in both January and March meetings. The Bank of England implemented a 25 basis points cut, whereas the Bank of Japan raised its rate by 25 basis points.
The net result was positive for bonds, with the Universe (FTSE Canda Universe Bond Index) returning +2.02% in the first quarter. Mid-term bonds (FTSE Canada Mid Term Overall Bond Index +2.65%) outperformed both the short-end (FTSE Canada Short Term Overall Bond Index +1.69%) and the long- end (FTSE Canada Long Term Overall Bond Index +1.79%). Government bonds (FTSE Canada All Government Bond Index +2.09%) outperformed corporate bonds (FTSE Canada All Corporate Bond Index +1.81%) as credit spreads on investment grade corporate bonds widened over the quarter from their cycle lows. The longer duration non-cyclical segments of the corporate index (i.e., Communication and Infrastructure) outperformed the shorter duration cyclical segments of the index (i.e., Financial, Industrial).

The USD/CAD pair marginally strengthened from 1.4384 to 1.4387 as long-term interest rate differentials between the U.S. and Canada narrowed, while the spread between West Texas Intermediate and Wester Canada Select also narrowed over the quarter.

From a performance attribution perspective, the portfolio's overweight exposure to mid and long-erm Provincial bonds provided the largest contribution to relative returns. The portfolio's higher carry and lower contribution to duration from corporate bonds also added value. From a yield curve positioning standpoint, the portfolio's relative overweight key rate duration exposures are in the 7- and 10-year key rates.

Over the quarter the portfolio opportunistically took advantage of widening credit spreads by switching from senior unsecured bonds to subordinated bonds within the Financial sector. The portfolio continues to maintain an overweight to corporate bonds relative to the benchmark, however, the duration of corporate exposure is materially less, which is expected to mitigate spread sensitivity if a spread widening event occurs. The exposure to spread sensitivity in the portfolio is predominantly allocated to Provincial bonds.

The portfolio is of higher credit quality with no exposure to BBB-rated bonds that provides a similar yield carry relative to the benchmark. The Manager continues to actively seek attractive opportunities to enhance portfolio structure and relative total returns.

With near-term inflation expectations rising due to tariffs, the extent of the potential impact to demand (weakening) remains uncertain. As a result, the policy path of rates is unclear as the BoC balances the risks of potentially lower economic growth and higher inflation. Market pricing for overnight indexed swaps (OIS – a proxy for the expected policy interest rate) suggests that the BoC will provide additional cushion by lowering rates at least once by an additional 0.25% before the end of June.

Investment manager overview

GUARDIAN CAPITAL LP

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange.

Investment philosophy

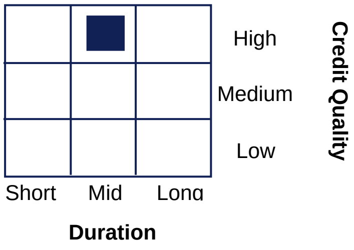
Guardian's investment philosophy is to achieve a prudent balance between risk tolerance and return enhancement. This balance is key to successful longer-term performance. Guardian also believes that longer term success will be achieved through fundamental research, superior security selection, and implementation of a disciplined approach. The firm believes that there are numerous opportunities in the bond market without subjecting the portfolio to extreme interest rate calls

Investment process and risk controls

Guardian constructs fixed-income portfolios that emphasize the following factors: preservation of capital, liquidity/marketability, quality, diversification, and value-added trading. Guardian's approach to fixed-income management is value-driven. Its decision-making process includes five disciplines to overall portfolio construction. These are duration management, term structuring, sector weighting, security selection, and value-added trading.

Having limited the risk to the portfolio through constrained duration, Guardian actively structures the portfolio to take advantage of anticipated changes in the shape of the yield curve. In addition, sector weights will be adjusted to reflect spread levels available and expected. At times, the firm may have a heavier than average weighting in short-term Corporate bonds. Credit analysis is, therefore, an integral part of the decision-making process to ensure the portfolios benefit from the higher yields available, while avoiding potential downgrades and poorer quality issues

Fixed Income style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

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[1] Income: To generate a steady stream of income

[2] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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[5] The benchmark is FTSE Canada Universe Bond Index

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